Who Is an Entrepreneur?

This leads us to start a discussion on who is an entrepreneur. According to the Global Entrepreneurship Monitor (GEM), there are those who become entrepreneurs by necessity (no income, starving, etc.) and those who are opportunistic (exploit a need, market, invention, etc.). Most of the following discussion focuses on the latter group, the opportunistic entrepreneur. It should be noted early on that the distinction is not a pure one and includes a great deal of overlap. That said, there is increasing evidence that at least in the United States there is a significant increase in the number of new entrepreneurs who are starting their own businesses because they see an opportunity, not because they are out of work and unable to get a job (necessity entrepreneurs). This may explain why immigrants in the United States have higher new venture creation rates than nonimmigrants, but most of these new firms are actually more opportunistic. These opportunistic entrepreneurs now represent nearly 80 percent of total new entrepreneurs an increase from the numbers found in the years following the Great Recession. Now let us turn to the defining who is an entrepreneur in more detail.

In the late 1980s academics tried to define who an entrepreneur is and what is entrepreneurial. William Gartner's article "Who is an entrepreneur? Is the wrong question" was published in 1988. Our friend Bill questioned the idea of "an entrepreneur." He argued that the why question tends to be answered with a description of who. Later other researchers tried to reframe the research agenda and define what an entrepreneur does, why they do, how they do, and then who this doer is. It has been argued that if we could find the answers to these questions, we should be able to design targeted educational programs to create more entrepreneurs. Completing an exam in entrepreneurship, or majoring in entrepreneurship at a university, would then be a rational solution to creating entrepreneurs. But, most of us know that this is not exactly the way it works. Certainly entrepreneurs have existed for millennia and certainly long before anyone developed a course on how to be one at universities such as Texas, Harvard, Stanford, New South Wales, Helsinki, or oxford.

If one cannot make people into a functional entrepreneur, we rationalize that entrepreneurs are really born, that entrepreneurial behaviors are genetic—often using family firms as examples. But, anyone in a family business will attest that succession in family firms is among the most difficult tasks to carry out. Not all children are interested, willing or even able to take over the firm. Sometimes none of them are. And the ones who may be interested are not the ones the present owner wants as successor. Some children have no desire to live the life of a "constantly-on the-job" parent who is an entrepreneur. While the parent's hardworking may reflect the cost of being successful, not all children see that as desirable for themselves or as a factor in being a successful parent.

The Entrepreneurial Personality

Then there are those who will argue that becoming an entrepreneur and a successful entrepreneur is all about personality. We do believe having a personality compatible with entrepreneurial life is critical. But that compatibility often is contextually bound, depending on the idea, the market, and the culture in which one finds oneself operating. Frequently, it is argued that entrepreneurs are risk takers and innovators, but in many cases that is not the case. We acknowledge that there are certain personality

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Entrepreneurial Mindset

We also argue that entrepreneurs and successful entrepreneurs have a different mindset and attitudes and that successful entrepreneurs have different entrepreneurial leadership styles. Some of these skills can be taught, so entrepreneurial education is not all bad. Because some characteristics are attitudes, that can be influenced through education, but some of this is closer to art. For an in-depth discussion of various aspects of the entrepreneurial mind, we refer you to our edited volume (Carsrud and Brännback 2009) in which there are 15 chapters dedicated to various topics about the entrepreneurial mind.

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These personality factors, however, may not be consistent in their impact in other cultures such as Asia, Latin America, or Africa. There is some indication that there are even gender differences across cultures. What this says is that the issue of what is a unique entrepreneurial personality is not a simple answer. What we have learned is that what personality and motivational factors that make someone successful as an entrepreneur are the same as those that make one a successful pilot, scientist, or academic (Carsrud and Brännback 2011).

We know from years of psychological research that the characteristics of a successful entrepreneurs in the United States and most of Europe are the same kind of characteristics found in any ambitious persons, whether lawyer, doctor, airline pilot, that is, who are good at their professions. We know that there are high levels of some of the different components of achievement motivation for all of these.

What we also know is that pattern may be different in different cultures when it comes to entrepreneurs. One component that seems to be consistent is the desire to work hard. Another is the willingness to learn new and different things. The role of a competitive personality seems to vary by cultural context as does the interaction of these factors with each other. In other words, if you have what it takes to be a good scientist, lawyer, academic, pilot, or other professional, you most likely have what it takes motivationally to be an entrepreneur.

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Based on research, we strongly believe that any person with a desire to pursue an opportunity and to achieve a goal can be entrepreneurial and can become an entrepreneur if all other factors are equal. While we have to be cautious in defining success—as that is also a matter of kind and degree—it is possible for any entrepreneur to be successful. In Chapter 2 we return to the discussion of what success means. Moreover, for a person to be entrepreneurial does not mean that the person has to start a for-profit company as demonstrated in the preceding example of Dr. Jonas Salk.

To us entrepreneurship is an attitude toward life as much as it is an ability to create and then lead a firm. Having said that, we think it is vital to understand how entrepreneurs think since we also argue that entrepreneurs appear to perceive their reality differently than those who are not entrepreneurs. For example, why do some persons, and not others, decide to become entrepreneurs? Why do some

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with a job in a large firm with a good salary and nice benefits and become life-style entrepreneurs by starting a winery or an art gallery? How do some consider such an option desirable and feasible while others do not? While theory maintains that opportunities exist when there is a competitive imperfection, we argue that very few entrepreneurs consider a potential opportunity, in those terms.

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We believe most potential entrepreneurs will think of a possible idea from the personal perspective of whether it is something one wants to do (desirable) and something one thinks one can do (feasible). This notion is consistent with the theory of planned behavior, which posits that a person who finds an opportunity desirable and feasible is likely to create a venture. Absent intention, there is no action, and thus no new venture. For a greater in-depth discussion of this theory, see Carsrud and Brännback (2009) with several chapters that explain aspects of this theory with respect to entrepreneurs.

Finally, we want to be perfectly clear, entrepreneurship is for anyone willing to take the time and expend the energy. Entrepreneurs are men and women. They come in every color of skin and ethnic variety. They are gay, straight, and transgender. They are both young and old. They are geniuses and the not so bright. They may be Olympic athletes and they may have disabilities. You do not have to live in Silicon Valley to become an entrepreneur. We know of plenty of rural entrepreneurs and those in urban centers. You do not have to be rich to be an entrepreneur. We in this book try to give you examples of a wide variety of people who have become entrepreneurs. You can be an entrepreneur regardless of what is thrown at you. We are reminded of a story of a 57-year-old woman whose husband divorced her. She lost everything, including the house, car, and her money. As a parting jab, her ex-husband told her to get a dog. She did, a large English Bull Dog. She started making cards with the dog's picture on them. They sold rapidly, she made more, branched out into other products with the dogs picture. Today, she has the last laugh on her ex-husband as her venture is now a multimillion dollar business. The deciding factor is a mindset.

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